

Adventis Air, Inc. (ADVA)

Buy

Equity Research

Near-term earnings outlook affirmed

2020 outlook. The company stated its full-year EPS guidance of \$6.52 to \$6.87 for FY2019. Our estimate of \$6.57 is at the low end of this range, as we remain cautious on the industry.

Share repurchases. We believe there is strong free cash flow to support a substantial share repurchase program consisting of \$90.0 million over the next three fiscal years. We expect total annual share repurchases to be \$30.0 million for FY2019 through FY2021.

Dividends. Dividends per share are expected to be \$3.10 in FY2019 and grow to \$3.15 in FY2020 and \$3.20 in FY2021, representing a 1% CAGR from 2019-2021. Dividend yield is expected to remain between 3.7%-4.3% during this timeframe.

Valuation. The stock is currently trading at 11.0x our 2019E EPS of \$6.57. We maintain our 12-month target of \$79 by applying a 11.0x multiple to our 2020 EPS estimate.

Implications. The market appears to be undervaluing ADVA's near-term earnings potential, hence our buy rating.

Key Ratios

Price Target	\$79
Current Share Price (04/08/19)	\$63.24
Market Cap (\$ mm)	\$921
52-Week Range	\$54.39 - \$65.87
Common Shares Outstanding	14.6
Annual Dividend per Share	\$3.10
Dividend Yield	4.3%
2019 ROE	32.1%
Total Debt	\$764

FYE Dec 31,	2018A	2019E	2020E	2021E
Revenue (\$ mm)	\$1,419	\$1,526	\$1,617	\$1,698
EPS	\$5.61	\$6.57	\$7.16	\$7.96
P/E	10.7x	11.0x	11.0x	11.0x
Operating Margin	9.1%	9.6%	9.5%	9.7%
EBITDA Margin	17.7%	18.6%	19.0%	19.7%

Coverage View: Buy

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Income Statement (\$ mm)					Balance Sheet (\$ mm)				
	2018A	2019E	2020E	2021E		2018A	2019E	2020E	2021E
Revenue	\$1,419	\$1,526	\$1,617	\$1,698	Cash and Cash Equivalents	\$162	\$156	\$75	\$25
Cash Expenses	1,169	1,242	1,310	1,364	Accounts Receivable	25	27	29	30
EBITDA	251	284	307	335	Other Current Assets	46	46	49	51
Depreciation & Amortization	122	137	154	170	Total Current Assets	233	229	153	106
EBIT	129	146	154	165	Net Property, Plant & and Equipment	1,214	1,245	1,350	1,350
Interest Expense	24	26	26	23	Other Long-Term Assets	50	50	50	50
Interest Income	(7)	(5)	(3)	(2)	Total Assets	1,496	1,523	1,552	1,505
Other Expense (Income)	(2)	(4)	(6)	(7)					
Earnings Before Taxes	114	129	137	150	Accounts Payable	20	19	20	21
Corporate Taxes	30	34	36	40	Accrued Liabilities	105	114	121	127
Net Earnings	84	95	101	110	Other Current Liabilities	210	229	243	255
EPS	\$5.61	\$6.57	\$7.16	\$7.96	Total Current Liabilities	335	362	384	403
Key Metrics					Total Debt	764	744	724	622
Revenue Growth	5.8%	7.5%	6.0%	5.0%	Other Long-Term Liabilities	122	122	122	122
EBITDA Margin	17.7%	18.6%	19.0%	19.7%	Total Liabilities	1,222	1,228	1,230	1,148
EBIT Margin	9.1%	9.6%	9.5%	9.7%	Shareholders' Equity	275	295	322	357
Net Margin	5.9%	6.2%	6.2%	6.5%	Total Liabilities and Equity	1,496	1,523	1,552	1,505
Cash Flow Statement (\$ mm)					Additional Metrics				
Net Earnings		\$95	\$101	\$110	Debt / EBITDA		2.6x	2.4x	1.9x
Depreciation		137	154	170	Debt-to-Equity Ratio		252.2%	225.2%	174.2%
Change in Working Capital		25	17	15	Days Receivable		6.5	6.5	6.5
Cash From Operating Activities		257	272	295	Dividend Yield		4.3%	4.0%	3.7%
Capital Expenditures		(168)	(259)	(170)	Average Common Shares Outstanding		14.4	14.1	13.9
Cash From Investing Activities		(168)	(259)	(170)	Cash Ratio		0.43	0.20	0.06
Dividends		(45)	(44)	(44)	Return on Equity		32.1%	31.4%	30.8%
Share Repurchases		(30)	(30)	(30)	Net Debt		\$588	\$649	\$597
Change in Revolver		--	--	98	Corporate Tax Rate		26.5%	26.5%	26.5%
Change in Long-Term Debt		(20)	(20)	(200)	Dividends per Share		\$3.10	\$3.15	\$3.20
Cash From Financing Activities		(95)	(94)	(176)					
Total Cash Flow		(5)	(81)	(50)					
Free Cash Flow (Levered)		89	13	126					